

Accounting Business and Society

-Transaction Analysis

WEEK2

Content

01 **Key concepts**

02 **Assessment**

03 **Tutorial Activity**

Key concepts

- 01 Purpose of accounting information system
- 02 Dual Entry accounting
- 03 Journal, ledger and Trial Balance
- 04 Recording and Posting and preparing Unadjusting Financial statement

Accounting Information & Users



Financial Accounting

Management Accounting

Accounting Cycle



Analyze the Impact of Business Transactions on Accounts

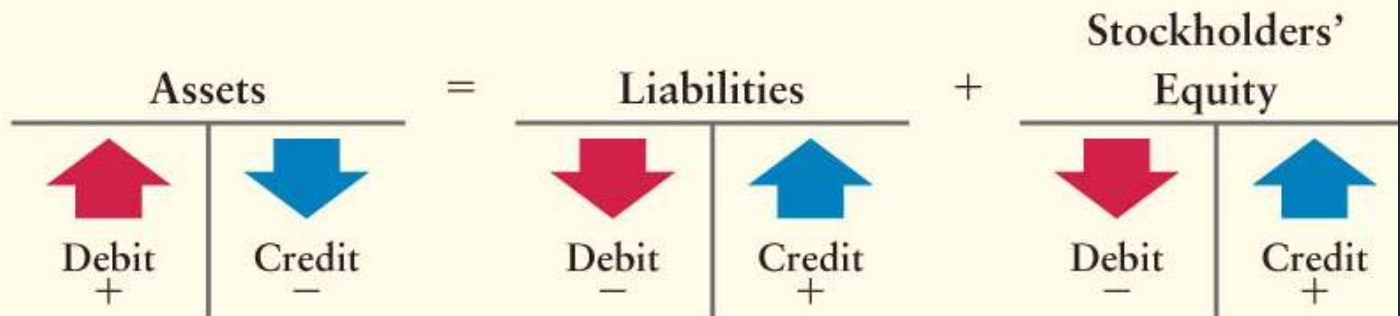
Accounting:

- Double-entry system
- Records dual effects of each transaction
 - At least two accounts in each transaction

Exhibit 2-3 Accounting Equation and the Rules of Debit and Credit

Accounting
Equation

Rules of
Debit and
Credit



The type of account determines how to record increases and decreases.

Additional Stockholders' Equity Accounts: Revenues and Expenses

Two categories of income statement accounts:

- Revenues
 - increase stockholders' equity
 - result from delivering goods/services
- Expenses
 - decrease stockholders equity
 - cost of operating the business

Exhibit 2-6 Expansion of the Accounting Equation

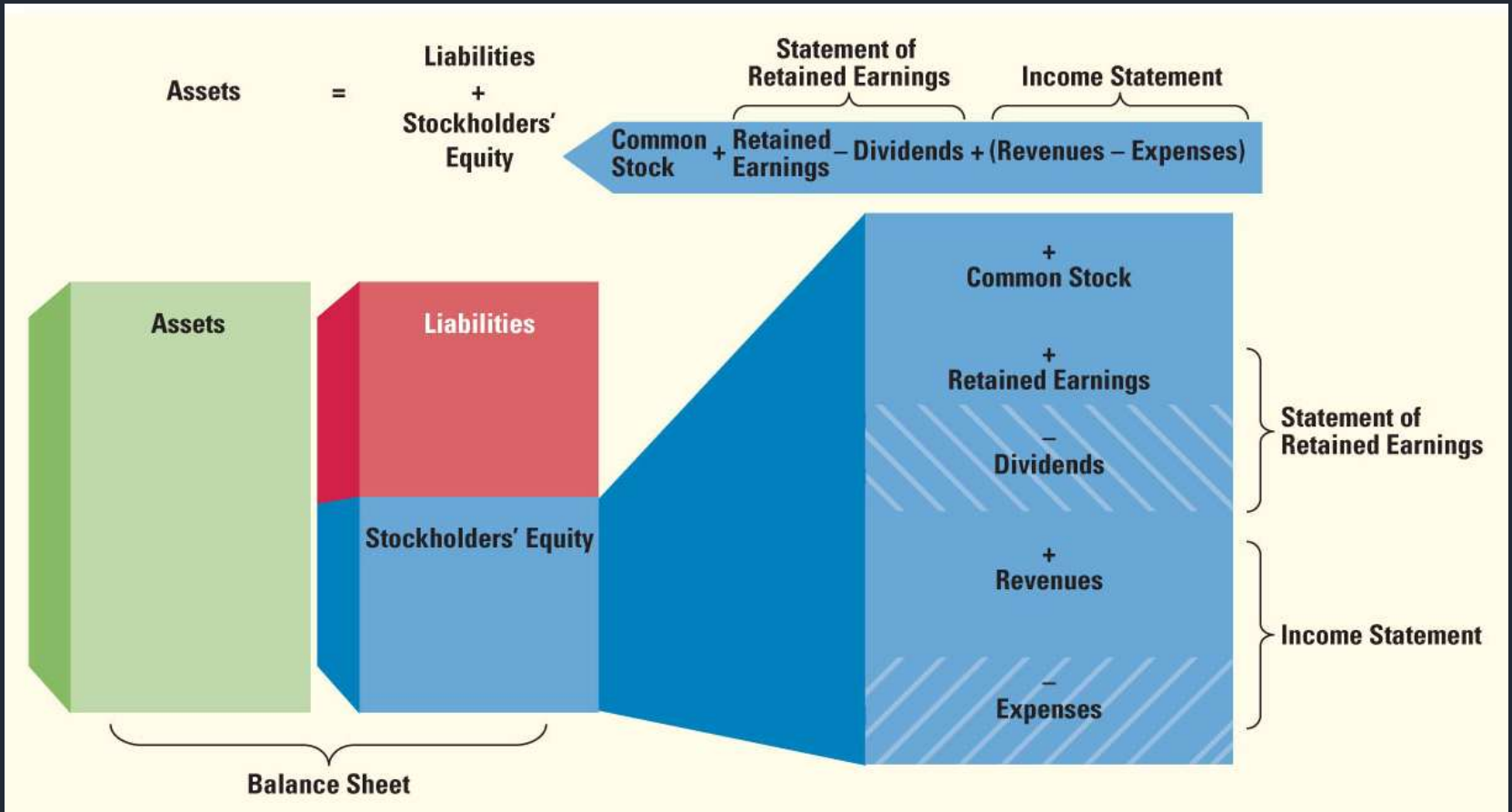


Exhibit 2-7 Final Form of the Rules of Debit and Credit

ASSETS		=	LIABILITIES		+	STOCKHOLDERS' EQUITY					
Assets			Liabilities			Common Stock		Retained Earnings		Dividends	
Debit	Credit		Debit	Credit		Debit	Credit	Debit	Credit	Debit	Credit
+	-		-	+		-	+	-	+	+	-
						Revenues		Expenses			
						Debit	Credit	Debit	Credit	Debit	Credit
						-	+	+		+	-

Example: Alladin Travel, Inc.

Transaction 1

On, April 1, Starr Williams and a few friends invest \$50,000 to open Alladin Travel, Inc., and the business issues common stock to the stockholders.

Transaction 2

Alladin purchases land for a new location and pays cash of \$40,000.

Transaction 3

The business buys supplies on account, agreeing to pay \$3,700 within 30 days.

Example: Alladin Travel, Inc.

Transaction 4

Alladin earns \$7,000 of service revenue by providing services for customers.

Transaction 5

Alladin performs services on account, which means that Alladin lets some customers pay later.

Transaction 6

During the month, Alladin Travel, Inc., pays \$2,700 for the following expenses: rent \$1,100; employee salaries, \$1,200; and utilities, \$400.

Example: Alladin Travel, Inc.

Transaction 7

Alladin pays \$1,900 on account, which means to make a payment toward an account payable.

Transaction 8

Starr Williams, the major stockholder of Alladin Travel, paid \$30,000 out of her personal bank account to remodel her home.

Transaction 9

In transaction 5, Alladin performed services for customers on account. The business now collects \$1,000 from a customer.

Example: Alladin Travel, Inc.

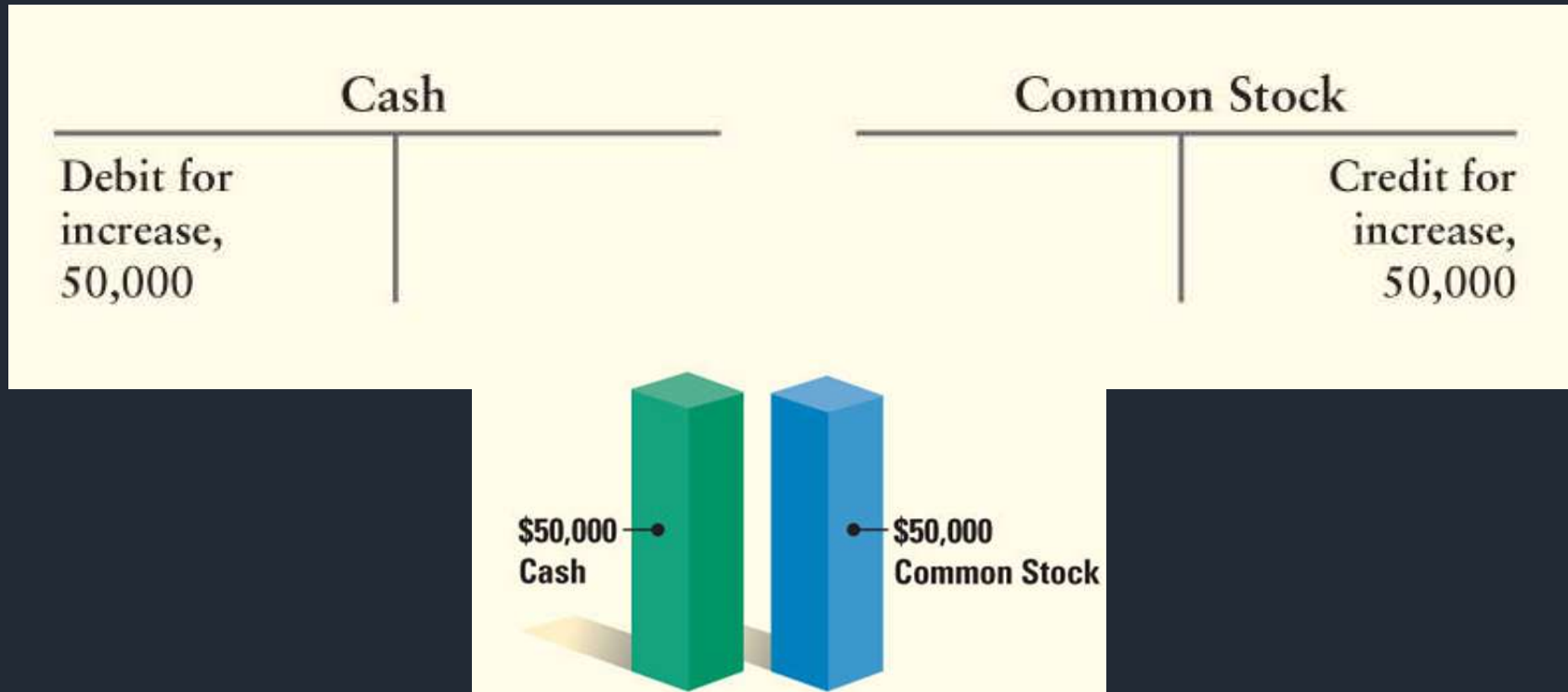
Transaction 10

Alladin sells some land for \$22,000, which is the same amount Alladin paid for the land.

Transaction 11

Alladin Travel, Inc., declares a dividend and pays the stockholders \$2,100 cash.

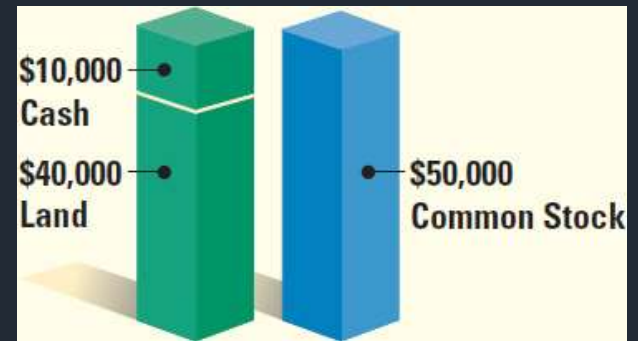
Exhibit 2-4 The Accounting Equation after Alladin Travel, Inc.'s, First Transaction



To illustrate, Alladin Travel, Inc., received \$50,000 and issued (gave) stock. What is the effect on the accounts?

Exhibit 2-5 The Accounting Equation after Alladin Travel, Inc.'s, First Two Transactions

Cash			Common Stock	
Bal	50,000	Credit for decrease, 40,000	Bal	50,000
Bal	10,000			
Land				
Debit for increase, 40,000				
Bal	40,000			



Alladin's second transaction is a \$40,000 cash purchase of land. What is the effect on the accounts?

Record (Journalize and Post) Transactions in the Books (1 of 2)

Journal

- Chronological record of transactions
- Three steps:
 1. Specify each account affected by the transaction and classify by type
 2. Determine if each account is increased or decreased (debit or credit)
 3. Record in the journal

Record (Journalize and Post) Transactions in the Books (2 of 2)

Steps to journalize the first transaction of Alladin Travel, Inc.

Step 1 Business receives \$50,000 cash and issues stock

Step 2 Both Cash and Common Stock increase

Step 3 Journalize the transaction:

A1						
	A	B	C	D	E	F
	JOURNAL					
1	Date	Accounts and Explanation	Debit	Credit		
2	Apr 1	Cash	50,000			
3		Common Stock		50,000		
4		<i>Issued common stock.</i>				
5						

Exhibit 2-8 The Ledger (Asset, Liability, and Stockholders' Equity Accounts)

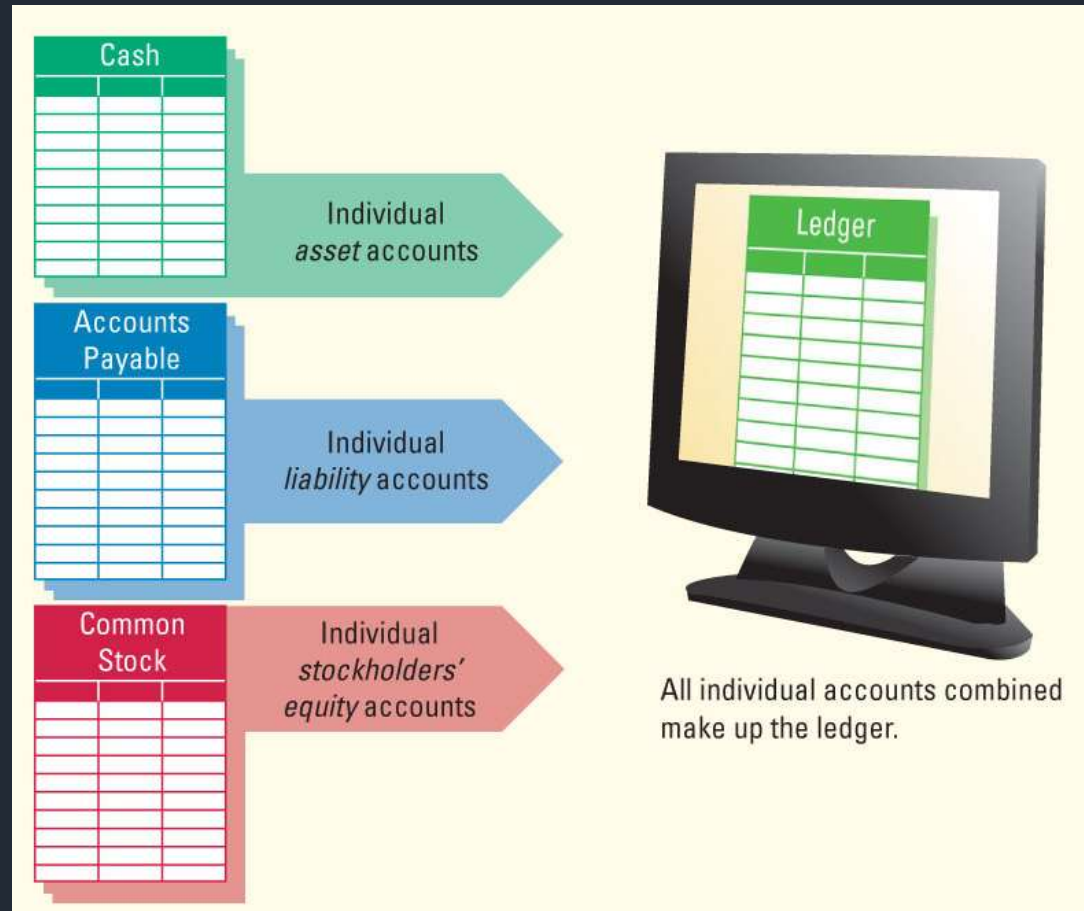


Exhibit 2-9 Journal Entry and Posting to the Accounts

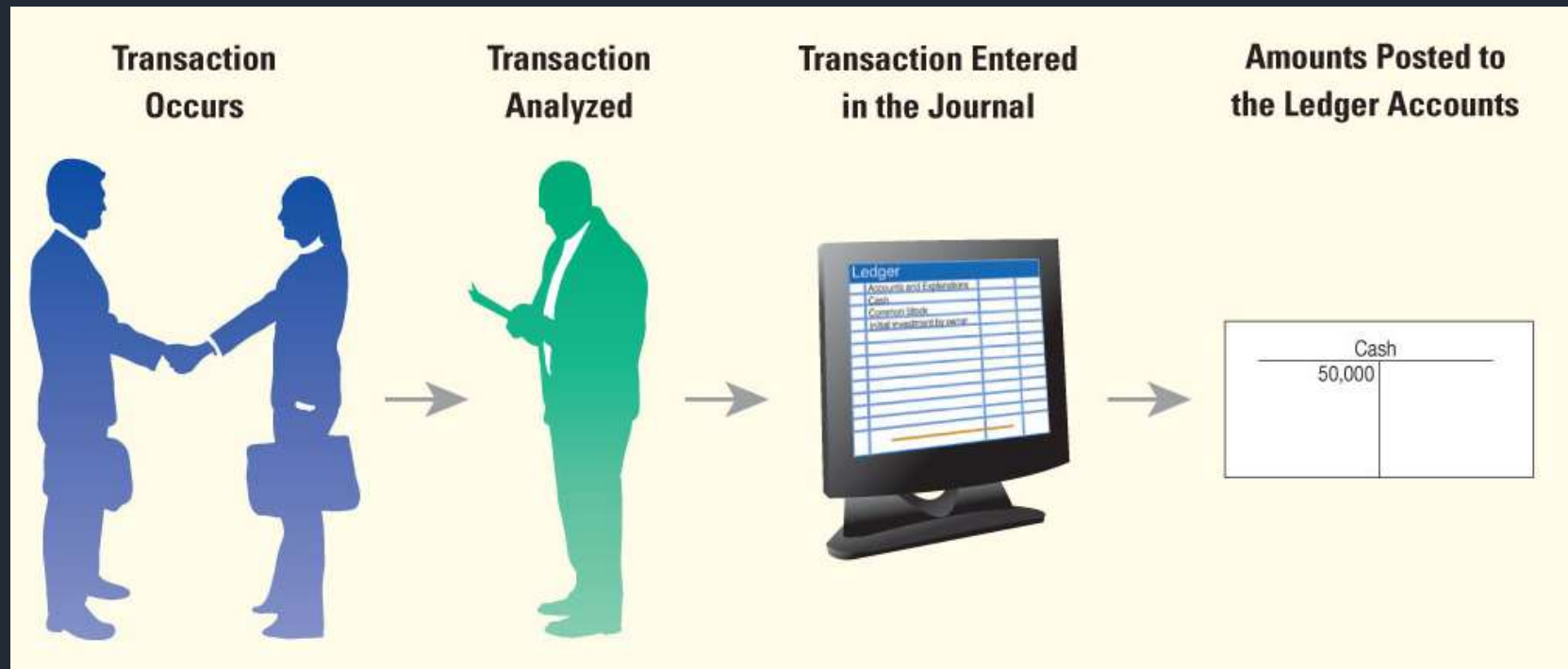
PANEL A—Journal Entry

A1			
	A	B	C
1	Accounts and Explanation	Debit	Credit
2	Cash	50,000	
3	Common Stock		50,000
4	<i>Issued common stock.</i>		
5			

PANEL B—Posting to the Accounts

	Cash		Common Stock	
→	50,000			50,000 ←

Exhibit 2-10 Flow of Accounting Data



Transaction 1 Analysis

(1) Received \$50,000 cash and issued stock to the owners

A1					
	A	B	C	D	E
1	Cash	50,000			
2	Common Stock		50,000		
3	<i>Issued common stock.</i>				
4					

	Assets	=	Liabilities	+	Stockholders' Equity
<i>Accounting equation</i>	+50,000	=	0	+	50,000
	Cash		Common Stock		
<i>The ledger accounts</i>	(1) 50,000			(1) 50,000	

Transaction 2 Analysis

(2) Paid \$40,000 cash for land

A1					
	A	B	C	D	E
1	Land	40,000			
2	Cash		40,000		
3	Paid cash for land.				
4					

	Assets	=	Liabilities	+	Stockholders' Equity
Accounting equation	+ 40,000	=	0	+	0
	- 40,000				
	Cash		Land		
The ledger accounts	(1) 50,000	(2) 40,000	(2) 40,000		

Transaction 3 Analysis

(3) Purchased supplies for \$3,700 on account

A1					
	A	B	C	D	E
1	Supplies	3,700			
2	Accounts Payable		3,700		
3	<i>Purchased office supplies on account.</i>				
4					

	Assets	=	Liabilities	+	Stockholders' Equity
<i>Accounting equation</i>	+ 3,700	=	+ 3,700	+	0
	Supplies			Accounts Payable	
<i>The ledger accounts</i>	(3)	3,700			(3) 3,700

Transaction 4 Analysis

(4) Performed services and received cash of \$7,000

A1					
	A	B	C	D	E
1	Cash	7,000			
2	Service Revenue		7,000		
3	<i>Performed services for cash.</i>				
4					

	<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Stockholders' Equity</u>
<i>Accounting equation</i>	+ 3,700	=	+ 3,700	+	0

	<u>Supplies</u>		<u>Accounts Payable</u>
<i>The ledger accounts</i>	(3) 3,700		(3) 3,700

Transaction 5 Analysis

(5) Performed services for a customer on account, \$3,000

A1					
	A	B	C	D	E
1	Accounts Receivable	3,000			
2	Service Revenue		3,000		
3	<i>Performed services on account.</i>				
4					

	Assets = Liabilities + Stockholders' Equity + Revenues			
Accounting equation	+ 3,000	=	0	+ 3,000

	Accounts Receivable		Service Revenue	
The ledger accounts	(5)	3,000	(4)	7,000
			(5)	3,000

Transaction 6 Analysis

(6) Paid cash expenses: rent, \$1,100; employee salary, \$1,200; utilities, \$400

	A	B	C	D	E
1	Rent Expense	1,100			
2	Salary Expense	1,200			
3	Utilities Expense	400			
4	Cash		2,700		
5	<i>Paid expenses.</i>				
6					

	<u>Assets = Liabilities + Stockholders' Equity - Expenses</u>			
<i>Accounting equation</i>	- 2,700 = 0		- 2,700	
	<u>Cash</u>		<u>Rent Expense</u>	
<i>The ledger accounts</i>	(1) 50,000	(2) 40,000	(6) 1,100	
	(4) 7,000	(6) 2,700		
	<u>Salary Expense</u>		<u>Utilities Expense</u>	
	(6) 1,200		(6) 400	

Transaction 7 Analysis

(7) Paid \$1,900 on the payable created in transaction 3

A1					
	A	B	C	D	E
1	Accounts Payable	1,900			
2	Cash		1,900		
3	Paid cash on account.				
4					

	<u>Assets</u>		=	<u>Liabilities</u>		+	<u>Stockholders' Equity</u>	
Accounting equation	− 1,900		=	− 1,900		+	0	
	Cash				Accounts Payable			
The ledger accounts	(1)	50,000	(2)	40,000	(7)	1,900	(3)	3,700
	(4)	7,000	(6)	2,700				
			(7)	1,900				

Transaction 8 Analysis

(8) Stockholder of Alladin remodeled her home with personal funds

No Entry

Transaction 9 Analysis

(9) Received \$1,000 on account

A1					
	A	B	C	D	E
1	Cash	1,000			
2	Accounts Receivable		1,000		
3	Collected cash on account.				
4					

	Assets		=	Liabilities		+	Stockholders' Equity	
Accounting equation	+ 1,000		=	0		+	0	
	- 1,000							
	Cash				Accounts Receivable			
The ledger accounts	(1)	50,000	(2)	40,000	(5)	3,000	(9)	1,000
	(4)	7,000	(6)	2,700				
	(9)	1,000	(7)	1,900				

Transaction 10 Analysis

(10) Sold land for cash at the land's cost of \$22,000

A1					
	A	B	C	D	E
1	Cash	22,000			
2	Land		22,000		
3	Sold land.				
4					

	Assets		=	Liabilities		+	Stockholders' Equity	
<i>Accounting equation</i>	+ 22,000		=	0		+	0	
	− 22,000							
	Cash					Land		
<i>The ledger accounts</i>	(1)	50,000	(2)	40,000	(2)	40,000	(10)	22,000
	(4)	7,000	(6)	2,700				
	(9)	1,000	(7)	1,900				
	(10)	22,000						

Transaction 11 Analysis

(11) Declared and paid a dividend of \$2,100 to stockholders

A1					
	A	B	C	D	E
1	Dividends	2,100			
2	Cash		2,100		
3	<i>Declared and paid dividends.</i>				
4					

	Assets = Liabilities + Stockholders' Equity - Dividends					
Accounting equation	-2,100	=	0		-	2,100
The ledger accounts	Cash			Land		
	(1)	50,000	(2)	40,000	(2)	40,000
	(4)	7,000	(6)	2,700	(10)	22,000
	(9)	1,000	(7)	1,900		
	(10)	22,000				

Exhibit 2-11 Alladin Travel, Inc.'s, Ledger Accounts after Posting

Assets		=	Liabilities		+	Stockholders' Equity			
Cash			Accounts Payable			Common Stock		Dividends	
(1) 50,000	(2) 40,000		(7) 1,900	(3) 3,700		(1) 50,000	(11) 2,100		
(4) 7,000	(6) 2,700			Bal 1,800		Bal 50,000	Bal 2,100		
(9) 1,000	(7) 1,900								
(10) 22,000	(11) 2,100								
Bal 33,300									
Accounts Receivable						Revenue		Expenses	
(5) 3,000	(9) 1,000					Service Revenue		Rent Expense	
Bal 2,000						(4) 7,000	(6) 1,100		
						(5) 3,000	Bal 1,100		
						Bal 10,000			
Supplies								Salary Expense	
(3) 3,700								(6) 1,200	
Bal 3,700								Bal 1,200	
Land								Utilities Expense	
(2) 40,000	(10) 22,000							(6) 400	
Bal 18,000								Bal 400	

Construct and Use a Trial Balance

Trial Balance

- Lists all accounts with their balances
- Assets listed first, then liabilities and stockholders' equity
- Shows that debits equal credits
- Usually prepared at the end of the period
- Facilitates preparation of the financial statements

Trial Balance

A1					
	A	B	C	D	E
1	Alladin Travel, Inc.				
2	Trial Balance				
3	April 30, 2016				
4		Balance			
5	Account Title	Debit	Credit		
6	Cash	\$33,300			
7	Accounts receivable	2,000			
8	Supplies	3,700			
9	Land	18,000			
10	Accounts payable		\$ 1,800		
11	Common stock		50,000		
12	Dividends	2,100			
13	Service revenue		10,000		
14	Rent expense	1,100			
15	Salary expense	1,200			
16	Utilities expense	400			
17	Total	\$61,800	\$61,800		
18					

Unadjusted Trial Balance

A1					
	A	B	C	D	E
1	Alladin Travel, Inc.				
	Unadjusted Trial Balance				
	June 30, 2016	Debit	Credit		
2	Cash	\$36,800			
3	Accounts receivable	2,200			
4	Supplies	700			
5	Prepaid rent	3,000			
6	Land	18,000			
7	Equipment	24,000			
8	Accounts payable		\$13,100		
9	Unearned service revenue		400		
10	Common stock		50,000		
11	Retained earnings		18,800		
12	Dividends	3,200			
13	Service revenue		7,000		
14	Salary expense	900			
15	Utilities expense	500			
16	Total	\$89,300	\$89,300		
17					

Preparing Unadjusted Financial Statement

- Income statement
- Balance Sheet

Analyzing Accounts (1 of 3)

Suppose Alladin's began May with cash of \$1,000. During May, Alladin's received cash of \$8,000 and ended the month with a cash balance of \$3,000.

You can compute total cash payments by analyzing Alladin's Cash account:

Cash			
			$x = \text{beginning balance} + \text{cash receipts} - \text{ending balance}$
			$= 1,000 + 8,000 - 3,000$
Beginning balance	1,000		
Cash receipts	8,000	Cash payments	$x = 6,000$
Ending balance	3,000		

Analyzing Accounts (2 of 3)

You can compute either sales on account or cash collections on account by analyzing the Accounts Receivable account (using assumed amounts):

Accounts Receivable		
		$x = \text{beginning balance} + \text{sales on account} - \text{ending balance}$ $= 6,000 + 10,000 - 5,000$
Beginning balance	6,000	
Sales on account	10,000	Collections on account $x = 11,000$
Ending balance	5,000	

Analyzing Accounts (3 of 3)

You can determine how much you paid on account by analyzing Accounts Payable (using assumed amounts):

Accounts Payable			
$x = \text{beginning balance} + \text{purchases on account} - \text{ending balance}$ $= 9,000 + 6,000 - 11,000$			
Payments on account	$x = 4,000$	Beginning balance	9,000
		Purchases on account	6,000
		Ending balance	11,000

Assessment

Tutorial portfolio - Online quizzes:

This quiz is based on the week 2 learning materials. You may complete this anytime during week 2, you may use your study notes.

You have TWO attempts to complete this quiz.

Due time for your weekly quiz is on Canvas, please check it by yourself.